

were driven by the objective to be more global... The scenario has now changed given the growth opportunities in India are much superior. Hence, overseas buyouts are now more targeted and strategic in nature,” says Murugaiyan.

The tack for cross-border transactions globally was a combination of investing in a high-growth market like China or in mature markets such as Europe or the US. The Tata group made moves with acquisitions such as the buyouts of Corus and JLR. Now, the extent of opportunity back home is more attractive. If a company has a position of leadership here or a business throwing up a lot of cash with interesting growth opportunities, a buyout must complement these strengths well. Take a closer look at Tata Steel and that is fairly obvious. After the acquisitions of Bhushan Steel and Usha Martin’s steel business, it cut a cheque for ₹12,100 crore to buy Neelachal Ispat Nigam. This was through a disinvestment and the conglomerate routed it through a subsidiary, Tata Steel Long Products. On offer was not just a million-tonne plant, which, according to Tata Steel’s MD & CEO, T.V. Narendran, had the analysts thinking that too much was being paid. “The buyout of Neelachal was not valued in terms of the capacity. Rather, we looked at the 2,500 acres, which can increase our capacity to 10 million tonnes. Besides, it came with 100 million tonnes of iron ore,” he told *Business Today* recently.

Amit Dalmia, Senior Managing Director of PE giant Blackstone, says India is a highly attractive destination for global capital. “India’s cost-effective manufacturing, along with a stable policy environment, improving ease of doing business, and the move to reduce dependence on Chinese manufacturing, positions it as one of the most attractive investment destinations globally. India is the best performing geography for Blackstone Private Equity globally.”

In 2021, Blackstone invested more than \$10 billion in India—\$8.5 billion in private equity and \$1.5 billion in real estate. To date in 2022, it has invested \$1.5 billion.

MORE CONTROL IS FINE

PE funds are a lot more open to control deals and Kunal Shroff, Managing Partner of ChrysCapital, thinks the approach is to be flexible. “If it is a high-quality business, we are happy with minority stakes as well as control, depending on the entrepreneur’s preference,” he says. To ICICI Securities’ Kandoi, the trend of mega deals by PE funds is predominantly in the tech sector, with eight billion-dollar deals worth \$15 billion invested in 2021. Over time, PE interest in control deals, too, has increased significantly.

According to Vishal Nevatia, Managing Partner of True North, more than 25 per cent of deals involving PE funds are for control. “Ten years ago, it was barely 5 per cent. In a minority deal, it is important to identify the right entrepreneur, but in a control situation, a partnership with the right CEO matters,” he says. He estimates there is a base of more than 10,000 businesses that have experienced VC or PE money. “The understanding of VC/PE is a lot greater among entre-



“The availability of liquidity is an enabler, but the key driver [for M&As] continues to be strategic rationale”

RAJ BALAKRISHNAN
HEAD, INVESTMENT BANKING,
BANK OF AMERICA



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AMIT DALMIA
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